

Profit Niti – AI Report (2025-01-01 / 2025-12-31)

Last Month KPI Data (December 2025)

 Sales 0 0% Last month 0	 Gross Margin 0 0% Last month 0
 Operating Profit 0 0% Last month 0	 Break Even Sales 0 0% Last month 0
 Accounts Receivable 0 0% Last month 0	 Accounts Payable 0 0% Last month 0
 Working Capital 0 0% Last month 0	 Closing Stock 0 0% Last month 0
 Bs Category 0 - SHAKY 0% Last month 0 - SHAKY	 Impact Of Decisions 0 0% Last month 0

1. Big Picture — How the Business Looks Right Now

The business is in a state of severe financial distress. For the last quarter of FY 2024-25, the company reported a massive loss of over ₹2,059 crore on sales of ₹3,715 crore, meaning it lost ₹55 for every ₹100 of sales. This trend has continued into the first month of the new FY 2025-26, with a loss of ₹602 crore. The core issue is that the cost of goods sold (COGS) is consistently and significantly higher than sales revenue, leading to deeply negative gross margins. While the company has managed to reduce its long-term debt by over ₹59 crore in April 2025, its overall financial health is critically weak, with total equity deeply negative at over ₹-407 crore.

GREEN FLAG BOX — What's Working Well

- **Strong Sales Volume:** The sales register shows consistent and high transaction volume (over 700-1000 invoices monthly), indicating active market presence and demand for your food products.
- **Effective Debt Management:** The company is actively reducing its secured long-term borrowings, which decreased from ₹32.5 crore in March to ₹26.6 crore in April 2025, improving the long-term liability structure.
- **Healthy Cash Balance:** Despite losses, the company maintains a stable cash and bank balance of over ₹21-22 crore, providing a crucial buffer for immediate operational needs.

RED FLAG BOX — What Needs Attention

- **Critical Profitability Crisis:** The business model is fundamentally unprofitable. COGS is 150-200% of sales, resulting in gross margins between -32% to -88%. This is unsustainable for any manufacturing unit.
- **Severely Negative Net Worth:** The total equity (shareholder funds) is negative ₹407 crore. This erodes lender and investor confidence and poses a significant going concern risk.
- **Working Capital Strain:** Accounts Receivable days increased to 14 days in April, while payable days are only 0.16 days. You are funding your customers but not using supplier credit, putting immense pressure on cash flow.

Strategic Advice:

Immediate survival depends on fixing the gross margin. Conduct a thorough product-wise cost analysis to identify which food processing lines are causing the heaviest losses. Renegotiate raw material purchase prices urgently and review your sales pricing strategy. Simultaneously, negotiate better payment terms with suppliers to improve cash flow. This is a turnaround situation that requires drastic operational and financial restructuring.

